

Power Grid Corporation of India Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.powergrid.in/
Sector	nan
Market Cap	372,584.24 Cr
PE Ratio	64.39
PB Ratio	5.1
Dividend Yield	3.09 %

Financial Quality

ROE	19.0
ROCE	13.2
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Balanced
Debt Trend	Stable Debt
Leverage	High

Business Overview

Power Grid Corporation of India Limited is a Maharatna CPSU and India's largest electric power transmission company. GoI holds a 51.34% stake in the company as on March 31, 2021. PGCIL was incorporated in 1989 to set up extra-high voltage alternating current and high-voltage direct current (HVDC) transmission lines.

The company moves large blocks of power from the central generating agencies and areas that have surplus power to load centres within and across regions. It is under the administrative control of the Ministry of Power, GoI.

PGCIL also executes several strategically important projects, assigned to the company by GoI on nomination basis. Power Grid Corporation of India is principally engaged in planning, implementation, operation and maintenance of Inter-State Transmission System (ISTS), Telecom and consultancy services.

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Consistent dividend yield above 2% backed by positive free cash flow.

Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Net debt exceeding three times operating profit indicates elevated financial leverage.